Grupo Bimbo, S.A.B. de C.V. | ESG Scores Raw Data

BMV:BIMBO A (MI KEY: 4276592; SPCIQ KEY: 877906; TCUID: 53231)

Public

Year: Methodology Year: 2023
Question: Biodiversity Mitigating Actions
Include Modeled Scores : Yes

Biodiversity Mitigating Actions

Question

Does the company have mitigating actions to reduce impact and dependency on biodiversity?

Rationale

The purpose of this question is to assess what relevant actions a company has taken in its operations that consider the well-being of nature. These mitigation actions include Avoid, Reduce, Regenerate, Restore, and Transform. Nature forms the basis of human well-being, and it is the cornerstone of all economic activity. Degradation of ecosystems and the hindrance of ecosystem services productivity has a material and all-encompassing effect on business. Without it, businesses are left lacking the ecosystem services and the natural capital necessary to function. We are asking companies this question to show their adaptability and willingness to lead. Additionally, emerging regulations, standards, and frameworks solidify the demand for asking companies to disclose mitigating actions.

Ultimately, any environmental impacts that can be avoided should be; however, when this is not possible, a company is expected to reduce its impacts. Regenerate and Restore are the actions needed to (1) remediate impacts on nature that cannot be avoided or reduced, and (2) achieve measurable positive outcomes for nature, as a part of achieving societal goals. While these actions—avoiding, reducing, regenerating, and restoring—are critical to minimize and contain the pressures fuelling nature loss, transformative actions are also necessary to tackle the fundamental drivers of nature loss. Drivers include the dominant belief and value systems of individuals and organizations which persist today and influence decision-making.

Performance Summary	
Question Level Company Performance	90
Question Weight	20
Year-on-Year Change	0
Industry Average Score	13
Industry Highest Score	100

The question layout and the company's verified information is provided below. No information is shown if the company did not provide any information or if it opted out of sharing non-public information.

Additional Question Guidance & Information Display

Key Definitions

Mitigation Hierarchy: A framework to help companies minimize negative impacts on nature with a long-term outlook. This prioritized approach guides companies to first, avoid the impacts, and if not possible, to limit or reduce impacts on nature, and next, to hold themselves accountable for restoring areas and ecosystems adversely impacted by business operations. Additionally, the option to offset or compensate, aims to compensate for any residual, adverse impacts after full implementation of the previous three steps of the mitigation hierarchy. Building on this, companies might take transformative actions that address the socio-economic systems in which organizations are embedded and currently accelerate biodiversity loss.

Avoid: The steps that have been taken to prevent environmental impacts. These could be either based on dependencies, impacts, or both. The most obvious type of avoidance example would be forgoing an impactful activity altogether; however, companies can utilize spatial, technological, and temporal actions when processes are a necessity.

- Spatial: Avoid implementing activities within or sourcing from a particular area
- Technological: Avoid impacts on nature through employing alternative project design, using a different process, choosing a different technology, or using different chemical inputs (i.e. pesticides or fertilizers)
- Temporal: Avoid implementing activities during a particular season or time period (i.e. pollution control technology or using recycled inputs)

Reduce: The actions taken by a company to minimize or reduce their impact or dependency on nature. Reduction examples might include production process changes, product design changes, product stewardship, business model changes, sourcing/supplier engagement, etc.

Regenerate: The actions taken to increase ecological productivity in relation to nature's contribution to people. Regenerative activities are usually most compatible with ecosystems currently in use by humans and do not require a reclassification of the land/seascape, like agriculture, aquaculture, and agroforestry.

Restore: Restoration measures aim to return an area to the original ecosystem that was present before impacts, whereas rehabilitation only aims to restore basic ecological functions and/or ecosystem services – such as through planting trees to stabilize bare soil. Rehabilitation and restoration are frequently needed towards the end of a project's life cycle but may be possible in some areas during operation. Examples may include supporting species recovery or ecological restoration of specific sites.

Transform: The actions that a company takes in order to address the fundamental drivers of nature loss. This refers to rejecting the dominant belief and value systems that prevail today which have led to biodiversity loss. How do companies act as environmental stewards by protecting nature and human well-being and improving the functioning of real and financial economies? Examples might include new partnerships across supply chains and sectors, investment in the landscapes and seascapes where they operate, and lobbying the government to raise its policy ambition for nature and climate change.

Impact: Can be a positive or negative contribution of a company toward the state of nature. Examples might include pollution of air, water, soil; the fragmentation or disruption of systems and natural habitats; and the alteration or ecosystems.

Dependency: Aspects of nature's contributions to people that a person or organization relies on to function. This might include water flow and quality regulation; regulation of hazards like floods and fires; pollination; and carbon sequestration.

Data Requirements

This question requires supporting evidence from the public domain. The information provided has to be included in your public reporting (e.g. annual report, sustainability report, integrated report, company publications) or corporate website.

This question may be marked "Not applicable" for companies that can credibly demonstrate in a comprehensive comment that their company has:

- No impact on biodiversity in its own operations
- No impact on biodiversity in the company's key raw material supply chains
- No impact at the use-phase or end-of-life of products/services use
- No financing activities which impact or depend on biodiversity

Industry-Specific Guidance:

Utilities (ELC, GAS, MUW):

- ELC & GAS: Utilities that have no power generation or transmission business or are only in electricity/gas distribution should mark "Not Applicable" and provide an explanation in the comment box.
- MUW industry: Pure water utilities should mark "Not Applicable" and provide an explanation in the comment box.

Real Estate (REI & REM)

- Companies that have not marked 'Development of major renovation and new construction' as one of the main activities of the business in question '0.1 Denominator Area' should mark "Not Applicable".
- Companies that have marked 'Development of major renovation and new construction' as one of the main activities of the business in question '0.1 Denominator Area' but are only operating in urban environments should mark "Not Applicable" and provide an explanation in the comment box.

Consumer Discretionary (CNO, TRT)

Companies in the following industries that are only providing online services should mark "Not Applicable" and provide an explanation in the comment box.

- CNO Casinos & Gaming industry
- TRT Hotels, Resorts & Cruise Lines

References

Taskforce on Nature-Related Financial Disclosure (TNFD): https://framework.tnfd.global/disclosure-recommendations/strategy/

Science-based Targets for Nature (SBTN) Initial Guidance for Business: https://sciencebasedtargetsnetwork.org/wp-content/uploads/2020/11/Science-Based-Targets-for-Nature-Initial-Guidance-for-Business.pdf

Cross Sector Biodiversity Initiative: A cross-sector guide for implementing the Mitigation Hierarchy: http://www.csbi.org.uk/wp-content/uploads/2017/10/CSBI-Mitigation-Hierarchy-Guide.pdf

Standards & Frameworks

CDP Climate - C15.5

CDP Forest - F-MM14.3/F-CO14.3, F-MM14.3/F-CO14.4, F-MM14.3/F-CO14.5, F-MM14.3/F-CO14.6, F-MM14.3/F-CO14.7, F-MM14.3/F-CO14.8, F-MM14.3a/F-CO14.3a, F-MM14.4/F-CO14.4

EU Taxonomy - Appendix D - Protection and Restoration of Biodiversity and Ecosystems

GRI Disclosure - 304-3

UNGC Questionnaire - E16

WEF Metrics - Integrating risk and opportunity into business process

Data View

QUESTION LEVEL INPUT	COMPANY ANSWER
Company has a publicly available information for Mitigating actions taken.	Applicable
Examples of avoidance measures which prevent impact or dependency from happening in the first place; eliminate the impact entirely are available publicly.	-
Examples of reduction measures which minimize impacts, but without necessarily eliminating them are available publicly.	YES
Examples of regeneration measures which improve existing processes' biophysical function and productivity of an ecosystem or its components are available publicly.	YES
Examples of restoration measures which initiate or accelerate the recovery of an ecosystem with respect to its health, integrity, and sustainability, with a focus on permanent changes in state are available publicly.	YES
Examples of transformation measures which take actions contributing to system-wide change, notably to alter the drivers of nature loss, e.g., through technological, economic, institutional, and social factors and changes in underlying values and behaviours are available publicly.	-

Questionnaire

Is your company taking mitigating actions to reduce your dependency and impact on biodiversity?

1. ●

   Yes, we are taking mitigating actions. Provide public supporting evidence of mitigating actions you are taking for each of the steps below:

   1. ☐

      Avoid
      Provide examples of avoidance measures which prevent impact or dependency from happening in the first place; eliminate the impact entirely.

   2. ☑

      Reduce
      Provide examples of reduction measures which minimize impacts, but without necessarily eliminating them.

   3. ☑

      Regenerate
      Provide examples of regeneration measures which improve existing processes' biophysical function and productivity of an ecosystem or its components

   4. ☑

      Restore
      Provide examples of restoration measures which initiate or accelerate the recovery of an ecosystem with respect to its health, integrity, and sustainability, with a focus on permanent changes in state

   5. ☐

      Transform
      Provide examples of transformation measures which take actions contributing to system-wide change, notably to alter the drivers of nature loss, e.g., through technological, economic, institutional, and social factors and changes in underlying values and behaviours

2. ○

   No, we have not taken any mitigating actions that we publicly report on.

3. ○

   Not applicable. Please provide explanations in the comment box below

Confidential additional comments

Use the text field below only in the following cases: (i) to describe significant changes in data or calculation methodology compared to last year's submission, (ii) to explain why a question is not applicable to your company's business model, (iii) to explain if your data deviates from the unit or format requested, or (iv) to provide supporting notes on translations of non-English references.